

today and how much is he going to have to invest in this business to sustain or grow this stream of cash in the future.

There are other factors in determining a stock's private market value. Cost of capital always affects a company's values. That's why stocks tend to be valued lower when interest rates rise. Cash flow growth rates will alter values, too. Just as growth-stock investors will pay a higher price-to-earnings ratio for higher earnings growth, private-market-value investors will pay a higher multiple of cash flow for faster cash-flow growth. Finally, sophisticated business buyers will look beyond the balance sheet for hidden assets—valuable land on the books at original cost or an overfunded pension plan—as well as hidden liabilities, like unfunded health-care responsibilities or potentially costly environmental problems.

By doing this kind of analysis of income statements and balance sheets, and checking out all those little footnotes attached, and keeping an eye on the prices businesses are being bought and sold at every day out there in the real world, you can quantify the value of a business or group of businesses. You can usually find fundamental bargains—stocks selling at substantial discounts to private market value. Then you have to ask the subjective questions: Who might want to own this company? Would management be receptive to a takeover proposal? Are the target company's assets so unique that someone might pay well above fair value?

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*You approach stocks as if they were pieces of a business you want to buy at a discount . . .*

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If you can come up with some positive answers to questions like these, you may well have found yourself a terrific takeover candidate.